

Alphabet Inc.

GOOGL NASDAQ

Buy

\$345.12 ▲ 0.04%

12M Price Target
\$385.00

52-Week Range
\$235.84 – \$408.61

Market Cap
\$4.22T

GOOGL: Antitrust Overhang Fading, AI Monetization Kicking In

WHAT HAPPENED

- Stock basically flat today (\$345.12, +0.04%) but that's after a big move — it ran from \$332 to \$349 in three sessions and is now digesting. The tape is telling you buyers stepped in on the pullback yesterday; no panic, just consolidation near 52-week highs.
- Options flow is loudly bullish — put/call ratio of 0.53 means traders are buying nearly 2 calls (bets stock goes up) for every put (bets it goes down), and there's an unusual 11,347-contract call block at the \$345 strike expiring this month. Someone with real money thinks this breaks higher soon.

WHY IT MATTERS

Here's the setup: GOOGL is at 63% of its 52-week range with the antitrust cloud largely cleared (the August ruling let Google keep Chrome and Android — the worst-case breakup didn't happen), and now the narrative is shifting to "wait, this is actually an AI winner trading cheaper than MSFT and NVDA." That's a powerful re-rating story. The carbon credit deal noted in today's headlines is small on its own, but it fits the bigger picture — Alphabet is aggressively locking in power and offset supply for the data center buildout, which tells you they're planning massive AI capacity growth (bullish for revenue, bearish for near-term free cash flow). Watch for: if Gemini usage metrics keep climbing and Cloud growth reaccelerates above 30% next quarter, this stock has room to \$380+ before it looks expensive.

POLICY & POLITICAL WATCH

The big policy story is the DOJ antitrust remedy phase — the judge already ruled Google won't be forced to sell Chrome, but final remedies (likely restrictions on default-search payment deals with Apple) get hammered out through late 2026. If remedies stay narrow, that's a clear green light. Separately, the Trump administration's AI Action Plan (executive orders from earlier this year) is explicitly pro-American-AI-champion and anti-EU-style regulation — that's a tailwind for GOOGL vs. European rivals, and it's why federal AI procurement dollars are flowing to hyperscalers like Google Cloud. Watch the pending Kids Online Safety Act and any state-level AI liability bills — those are the real regulatory risks, not federal antitrust anymore.

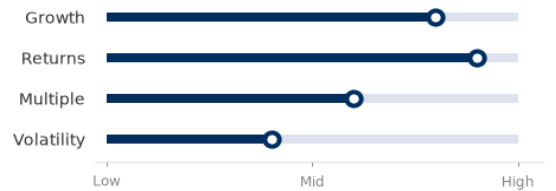
IS IT EXPENSIVE?

At ~\$345 with roughly \$10 in forward earnings, you're paying about 35x next year's profits — that sounds expensive, but MSFT trades at ~32x with slower growth and NVDA at ~40x with way more cyclical risk. Put differently, you're paying \$35 for every \$1 of earnings, and those earnings are growing 15-18% a year with a fortress balance sheet (\$100B+ in cash). The stock isn't cheap in absolute terms, but it's the cheapest mega-cap AI play — and that's why it's working.

Key Data

Price (USD)	\$345.12
12M Price Target	\$385.00
Upside / (Downside)	+11.6%
Market Cap	\$4.22T
FY2026E Revenue	\$415M
FY2027E Revenue	\$475M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.60
Fwd P/E	35.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$375.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$525.00	\$440.00	\$280.00
5 Years	\$750.00	\$575.00	\$300.00
10 Years	\$1200.00	\$850.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure and power/utilities feeding data centers — Bloom Energy and DTE headlines today aren't coincidences, the market is finally pricing in that AI needs gigawatts of new power. Tech broadly is +0.81% on the day.

COOLING OFF: Tech is -1.40% over 5 days and Utilities -3.20%, so there's been some near-term profit-taking after big runs — this is digestion, not a trend break.

ROTATION WATCH: Money is rotating within tech from pure-play AI hardware (NVDA, AMD) into the "AI monetizers" (GOOGL, META, MSFT) as investors want to see revenue, not just capex. That's a direct tailwind for GOOGL.

RELATED PLAY: If you believe the GOOGL story, the second-order plays are the power names (VST, CEG, BE) and data center REITs (EQIX, DLR) — they get paid whether Gemini wins or ChatGPT wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): still the picks-and-shovels king of AI — every hyperscaler capex dollar flows through them first.
- META (Meta Platforms): similar setup to GOOGL — cheap AI play with ad monetization and a fortress balance sheet, been ripping.

GOOGL CONTEXT: GOOGL was the laggard of the Mag 7 for most of 2024-early 2025 because of antitrust fear — now it's playing catch-up, which is why the recent price action is so strong. It's leading its peer group over the last month and that momentum tends to persist when it's driven by a narrative shift (antitrust fear → AI winner), not just a bounce.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-7% of portfolio

Entry Points: \$330-338 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Search revenue declines YoY, or DOJ forces Chrome/Android divestiture

Hedging: Buy 6-month \$310 puts, or pair with short MSFT if you want a clean AI-mega-cap hedge